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Beyond Import Bans: Rethinking Ghana's Rice Importation Crises

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From homes and restaurants to schools and ceremonies, rice is now a daily fixture in the diets of millions of Ghanaians. The increasing per capita consumption of rice by Ghanaians shows no sign of slowing down.

Rice has become the second most consumed cereal in Ghana and is set to surpass maize as the country's most widely consumed cereal. Increasing consumption of rice is driven largely by the convenience and ease of storing and preparing milled rice in homes and businesses, and rice's ability to pair with almost every type of Ghanaian soup and stew. Rice's importance and dominance in the Ghanaian palette will surely continue to grow in the coming years.

Yet, curiously Ghana remains unable to position itself to maximize the benefits from this internal demand in its own borders. Despite abundant fertile land, favorable weather conditions, extensive water resources, and hardworking farmers, many Ghanaians still prefer imported rice from Thailand, Vietnam, and India over rice grown locally. There has been national rice campaigns, government and international investments in the rice industry, yet indigenous rice has failed to establish itself as a preferred option within the diet of the largest consumers of rice in Ghana. To explain this many have blamed imported rice and Ghanaians love for foreign products as the main reason why the local rice industry is unable to meet its full production potential.

But the inability of local rice to be established in the market is far more nuanced than just production deficits or imports.

Having spent close to a decade working with and visiting smallholder rice farmers in major rice growing communities like Avalavi, Asutsuare, Akuse, Bontanga, Hohoe, Battor, Torgome and now serving as President of the Ghana Rice Federation, I believe the conversation around the inability of Ghana's indigenous rice industry to translate potential to achievement has often focused on the wrong problem. The solution is not merely increasing production volume to meet deficit targets or reducing importation for local production to fill the gap.

The central problem for local rice production is a lack of strong understanding of the needs of the consumer market. More accurately, the indigenous rice market is unable to consistently meet the standards, expectations and unique characteristics that the market prefers. Importers of rice have cracked the preferences of the consumer market and have cornered the most lucrative markets. Increasing local rice production will not automatically meet demand.

It is only when an industry gives customers what they want or need will there be demand which then creates scalable profit incentives for investors and value chain actors to increase production. Producers must meet unique consumer demand.

Meeting the demands of a unique market

The first step toward ending rice importation is understanding why many Ghanaians — particularly urban consumers — prefer imported rice. This requires understanding the unique nature of the rice consumer market in Ghana.

The Ghanaian rice market can broadly be divided into two segments: The Urban consumer and the Rural consumer.

Urban consumption of rice is driven largely by restaurants, hotels, caterers, and to a lesser extent middle-class household. Rural consumers, especially those in medium-sized towns and surrounding villages consume most local rice production. Understanding this distinction in markets is essential to breaking the dominance of imported rice and meeting the preferences of consumers.

Preferences of urban consumers and rural consumers

Most imported rice is sold in urban areas because urban consumers generally prefer long-grain rice that is aromatic, fluffy, and separates into individual grains easily when cooked. These characteristics are consistently found in Thai and Basmati rice. This consistency therefore makes imported rice the preferred choice for restaurants, hotels, food vendors, and many households.

Rural consumers, on the other hand, are often more price-sensitive and therefore largely purchase broken imported rice. Broken rice tends to become sticky and moist when cooked in large quantities — characteristics very similar to most locally produced rice. For many rural consumers therefore local rice and broken rice are excellent substitutes, especially when prices are comparable or not far off each other. When exchange rate fluctuations reduce prices of imported rice rural consumers switch to imported rice hence the rice gluts we frequently hear of on the news.

Urban consumers, however, generally dislike local rice because across different brands or even the same brands local rice does not exhibit consistent quality – sometimes separate into individual grains, sometimes has high broken rice content. This is further compounded by the fact that local rice may sometimes contain impurities such as stones, paddy grains, or

discolored grains, many consumers therefore completely reject it in favor of imported alternatives.

The Untapped Strength of Ghanaian Rice and why imports dominate the market

Ironically, local rice possesses significant advantages over the imported variety. Ghana-grown rice is often more aromatic and has a richer, sweeter, natural taste than imported rice. In blind tastings of high-quality local rice, many consumers actually consistently prefer the taste of local rice.

However, taste alone does not determine market success. Unique consumer preferences beyond taste, freshness and price prevent widespread adoption of local rice. And any product that consistently fails to meet customer expectations will struggle in the marketplace. Imported rice consistently meets a wider range of customer preferences and so there is huge demand for imported rice among both even rural and urban consumers.

The sticky and moist nature of local rice is largely the result of poor post-harvest and production practices, including improper drying to the correct moisture content, the mixing of different rice varieties during planting, milling and drying, passing medium-grain rice off as long-grain rice, farmers planting multiple rice varieties on the same field or in close proximity and weak monitoring control systems throughout the value chain. These problems are especially common among smallholder farmers who produce the bulk of rice in Ghana.

Importantly, these are not irrational actions by farmers.

Farmers like all rational investors produce to meet market demand at an acceptable profit margin— and rural consumers are an adequate market for many smallholder farmers. Urban markets which dominate rice consumption is driven largely by restaurants, eateries and food chains. These businesses have higher standards and need rice that exhibits consistent characteristics to enable them meet their own customer expectations. The local rice industry, dominated by smallholder farmers do not have the capital, time or orientation to profitably invest in activities or tools that enable them consistently meet these standards. The largest producers of rice in Ghana -smallholder farmers- therefore do not set out to produce rice for the highly profitable urban market. Nature abhors a vacuum and this unmet market demand is profitably filled by imported rice.

Local Rice investors and their attempt to compete with imported rice

Increasingly aggregators and marketers recognizing the huge potential of the urban market are looking to market local rice to urban consumers. These local investors convinced of the superior taste of local rice often encounter an invisible resistance to their product they do not fully understand. Many then tend to blame cheap imports and Ghanaian preference for foreign goods. But that is not the explanation.

Many investors are buying a product designed to appeal to one consumer – rural and attempting to market to another consumer – urban with different expectations and acceptable preferences. Even more worrying is that the highly lucrative segment of the market which is supplying to industry, restaurants and eateries will reject most local rice. To get around this problem some determined businesses and individuals become financiers and prefinance rice farmers but quickly find out that the lack of ingrained standards, infrastructure and general lack of understanding of the expectation of consistent high quality between farmer and financiers increase the cost of production unnecessarily.

The issue the Ghanaian rice industry is facing can then be distilled into a single sentence. It's a market-quality problem and not simply an import problem or a production problem. This is especially true when Ghanaians have demonstrated over the years that they are willing to pay for high quality rice.

Ghanaians Are Willing to Pay more for Quality

An interesting reality is that Thai rice on the Ghanaian market can sell for between 140 and 180 Ghana cedis for a 5kg bag, while Vietnamese and Ghanaian rice can sell for roughly 50–70% of that price even accounting for the fact that many brands package rice as 4.5kg. This proves something important: Ghanaians are willing and able to pay premium prices for rice that meets their preferences.

This is good news for the local rice industry. With its superior taste should 4 specific things be done right demand should follow. These four magic activities are; Cooked rice should consistent separate into individual grains when cooked, be aromatic, be free from impurities and be of consistent quality every time. If this is done within a year the perception of local rice will begin to change. Demand will follow and with demand will come increased investment in the sector which will by itself drive production up.

What should current interventions in the rice sector do

Focus on interventions that meet customer expectations and not only production. Interventions in the rice sector should then lean heavily towards meeting the four key issues identified above. Value chain practices and

interventions that ensure these four issues are dealt with will lead to a demand for local rice and make it competitive to imported rice. In the process giving consumers a genuine choice between local and imported rice.

Some practical interventions to improve the quality of local rice could include financing a small group of smallholder farmers to produce high quality rice and gradually adding more farmers committed to meeting high standards. Those who do not demonstrate the same commitments will be kicked out. As the reputation of their product branding grows so will demand. Other farmers seeing the profit potential of adopting high standards for rice production will be incentivized to produce high quality rice.

Another practical intervention will be for stakeholders like government to acquire large areas of land and sublease to commercial rice farmers.. To finance these interventions aimed at improving rice quality, the rice importation industry can play an important part in growing our local rice industry.

A third practical intervention will be to establish an apolitical rice board to coordinate policy and distribution of inputs and mechanized equipment, propose incentives for investors both local and foreign to pour into the rice industry and most importantly propose incentives to create demand for locally grown rice.

The Bull in the China Shop: The Rice Importation Problem Ghana May attempt to solve the Wrong Way

Nigeria banned rice importation so why not Ghana. Imported rice after all is choking our local rice industry. I disagree and this is where the conversation gets controversial. Ghanaian rice is superior in aroma and taste to imported rice and can effectively compete. Why suddenly ban an inferior product when this product can help finance the development of our own rice industry?

Yes. The Bull in the china shop should instead be viewed as a goose that could lay golden eggs.

Instead of outright bans, Ghana should impose a special development levy on imported rice specifically dedicated to financing investments and interventions in the local rice industry. Whatever Ghana's huge rice import bill is, a modest 5% levy on even an estimated \$500 million value of imported rice, could generate between \$10 million and \$25 million annually, depending on import fluctuations to finance indigenous rice capacity. These funds could be ring-fenced exclusively for developing the rice sector and an aggressive and accountable milestone-based system put in place independent of political interference.

The revenue generated could finance transformative interventions that encourage private investors such as:

- Government acquisition and development of large irrigated land banks along the Volta Basin to create Commercial farming zones for medium- and large-scale rice production
- Centralized drying and warehousing facilities for smallholder farmers to enable offtake by aggregators, industry players, consumers.
- Government payment schemes – Agric bonds held by GHIRSAL and held by commercial and rural banks that are used to pay rice farmers on time for their rice produce. Government uses this for their buffer stock and school feeding program
- Farmer training and extension centers in major rice enclaves for only farmers committed to producing export quality rice
- Affordable revolving financing schemes for commercial and smallholder rice production

In this model, imported rice therefore becomes the mechanism that finances the destruction of import dependency itself. The bull destroying the China shop becomes the goose laying the golden eggs. Even more importantly the relatively high standards of imported rice become the benchmark for local producers to meet or exceed. Should we become serious with the investments made into improving local rice production from the funds raised from taxing imported rice, Ghana can easily become a net exporter of rice. Instead of fighting importers, Ghana should incentivize them to also transition to also become buyers or producers of indigenous rice.

These proposals require deeper conversations such as implementing practical safeguards to prevent politically connected individuals from acquiring farming allocations to then resell. One safeguard will be to ensure interested organizations provide a substantial security deposit to the Bank of Ghana which is calculated based on acre allocated. Farming activity should commence within six months. Failure to begin production would result in partial forfeiture of the deposit. If farming proceeds successfully, the deposit could later be refunded at prevailing treasury bill rates after deducting administrative costs. This would discourage land hoarding by politically connected individuals while ensuring only serious investors participate.

Conclusion

Ending rice importation in Ghana will not happen through slogans, patriotism, or abrupt import bans. It will happen when Ghanaian rice consistently meets the expectations of major consumers of rice. The future of Ghana's rice industry depends not merely on increasing production, but on ensuring production of high quality rice that consumers actually like. This demand

becomes a cycle that increases production and benefits everyone; producers, consumers and government.

If Ghana can align production with consumer preference while intelligently using import revenues to finance domestic expansion, the country can build a competitive rice industry capable of replacing imports over a relatively short time. With the legal and moral authority of government, commitment of technical institutions like Center for Scientific and Industrial Research, Irrigation Development Authority and Farmer based organizations like the Ghana Rice Federation, Ghana can convert its huge potential into an achievement that we can all be proud of.

The solution can never be emotional protectionism. The solution is strategic transformation through ruthless and consistent execution.

